SMART IDEA
Aligning money with meaning helps reduce stress by giving financial decisions context and direction. Don't make money the primary measure of success; it rarely has a clear finish line. Find a balance between saving and spending by setting clear priorities and guardrails

money like electricity, which can power things and support comforts. But one doesn't collect kilowatts and accumulate them. Similarly, money should serve your goals, not become the goal itself.

Budgeting makes us believe that savings grow linearly. Many of us believe that by saving an X amount regularly, we will get rich. The belief that a rich life is possible for everyone is a fantasy, because getting rich is a fast-moving target. Simply put, being rich means having more money and comfort than you have now. But as soon as you reach this target, you will probably feel you have less than you could. It is the classic case of someone who, when buying a small car, starts aiming for an SUV or a sedan the moment they reach that goal. Our minds are tuned to reward aiming for more than necessary.

BUILDING A MARGIN OF SAFETY

Although we associate unpredictability with danger, they are not the same. In financial planning, the risk of investments not growing at an expected rate is the danger every investor faces; unpredictability, by contrast, is a sudden health scare that derails your ability to stay invested.

Margin of safety is the cushion between your financial goals and potential risks. Think of it as the difference between barely meeting your targets and comfortably absorbing shocks without panic. Let us take the most common example: reaching a Rs 1 crore investment target over a decade. It will take about Rs 43,000 each month through an SIP in a fund earning 12% returns. The investment drops to Rs 36,000 if returns reach 15% and could rise to Rs 48,000 if returns are 10%.

Because market returns change frequently, it is important to build a margin of safety into your goal calculations. A conservative return when calculating the amount you need to invest is one way to build the buffer; another is to extend the goal year by a few years. Now, in the earlier example, we did not factor in inflation. At 6% inflation, the goal value of Rs 1 crore rises to Rs 1.79 crore, meaning you need to aim higher to maintain the same purchasing power a decade later.

Another way to factor in inflation is to calculate monthly investments based on an inflation-adjusted return. The monthly SIP values you need change to Rs 68,510 with a 10% return, Rs 61,861 with a 12% return and Rs 52,806 with a 15% return when adjusted for 6% inflation. So, without a margin of safety, your financial plans could be derailed.

Different financial goals may require different ways to build a margin of safety. For instance, when planning for your child's education, besides education inflation, you should also consider currency exchange fluctuations.

For retirement plans, factor in longer lifespans to create a margin of safety, along with higher inflation and moderate investment returns during retirement.

Setting Financial Goals

Goal-based financial planning is the lifeblood of the financial planning process. In theory, it is straightforward: you identify what you want, calculate what it requires and take the necessary steps to get there. For instance, someone aged 40 planning a comfortable retirement at 65 has 25 years to invest a fixed sum, earn a return and accumulate a desired corpus. The desired corpus is the goal, which you can achieve by following this simple process. Look online, and you will find plenty of goal-setting calculators to help you plan for goals such as a car purchase, a house purchase, a child's education and so on.

A goal-centric financial planning process assumes that people are well aware of their financial goals. But this assumption may not always hold. Online tools and even financial planners can help you identify unstated goals; however, many goals remain unarticulated and vague. Playing around with a goal-seek calculator can make you believe you can achieve them. Goals are aspirational, and they require a consistent, focused and disciplined approach to achieve. It is like the initial phase of

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Goals are fragile because when a market dip or unexpected expenses arise, people abandon existing goals first. You could borrow to cover a sudden financial need instead of undoing a goal that is on track. Likewise, don't overdo goal-setting; keep a few practical goals